Ellan Vannin Wealth Management

Sovereign Infrastructure Investment Memorandum

The Warwickshire Metro Renaissance Programme

A Public–Private Partnership to Extend Birmingham Metro into a County-Wide Tram-Train Network

Creating Britain's First Genuine Metropolitan County Transit System

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Executive Summary

Ellan Vannin Wealth Management (EVWM) proposes:

The Warwickshire Metro Investment Partnership (WMIP)

A long-term PPP to transform Birmingham's existing metro concept into a **tram-train regional network** connecting Birmingham with the towns and cities of Warwickshire.

The ambition:

> Create a transport system where Warwickshire functions economically as a metropolitan region rather than a collection of disconnected towns.

The project would extend the West Midlands transport network beyond Birmingham and the Black Country into:

- Solihull
- Warwick
- Leamington Spa
- Kenilworth
- Coventry
- Nuneaton
- Stratford-upon-Avon
- Rugby
- Tamworth

The proposal builds on existing ambitions within Warwickshire's transport strategy, which identifies improved rail connectivity, economic growth, housing access and better integration with wider regional transport as key priorities.

Strategic Vision

From Birmingham Metro to Warwickshire Metro

Current model:

Birmingham
↓
West Midlands Metro

Future model:

```
                    Nuneaton
                       |
                       |
Coventry ---- Warwickshire Metro ---- Birmingham
     |                 |
     |                 |
 Rugby          Leamington Spa
                       |
                 Stratford-upon-Avon
```

Why Tram-Train?

A conventional tram:

- works well in city streets
- struggles with longer distances

A conventional train:

- works well on main lines
- struggles with dense urban penetration

A tram-train combines both.

It can:

- run on existing railway tracks
- enter city streets
- stop frequently
- operate at metro frequencies

Comparable systems exist in Germany and other European countries.

Investment Structure

Warwickshire Metro Fund

Total Investment:

£3 billion

25-year programme

Funding model:

Source	Investment
EVWM Infrastructure Fund	£750m
Pension funds	£1.25bn
Private infrastructure investors	£500m
Government / regional partnership	£500m

Phase One

Birmingham–Solihull–Warwick–Leamington Metro Line

Cost:

£900 million

Route

Birmingham Moor Street

↓

Birmingham Airport / NEC

↓

Solihull

↓

Warwick

↓

Warwick Parkway

↓

Leamington Spa

Purpose

Creates:

The Warwickshire Economic Spine

Connecting:

- Birmingham finance
- NEC events
- airport employment
- Warwick University
- Warwickshire business parks

Journey Times

Approximate targets:

Route	Current	Metro Target
Birmingham–Solihull	20 mins	15 mins
Birmingham–Warwick	45 mins	30 mins
Birmingham–Leamington	50 mins	35 mins

Phase Two

Coventry–Kenilworth–Leamington Tram-Train

Cost:

£500 million

Route:

Coventry

↓

University of Warwick

↓

Kenilworth

↓

Leamington Spa

Economic effect:

Creates a combined:

Coventry–Warwickshire Innovation Corridor

Supports:

- automotive engineering
- robotics
- universities
- technology firms

Phase Three

Stratford-upon-Avon Metro Extension

Cost:

£600 million

Route:

Leamington Spa

↓

Warwick

↓

Stratford-upon-Avon

Economic purpose:

Tourism + commuter economy.

Current problem:

Stratford is globally famous but poorly integrated into the wider Midlands economy.

Future:

A visitor from Birmingham:

Current:

~1 hour+

Future:

30–40 minutes

Phase Four

Northern Warwickshire Metro

Cost:

£700 million

Route:

Birmingham

↓

Tamworth

↓

Nuneaton

↓

Hinckley

Purpose:

Connect:

- manufacturing

- logistics
- housing markets

Phase Five

Rugby and Southern Extension

Cost:

£300 million

Connect:

Rugby

↓

Warwickshire Metro

↓

Birmingham

Strategic value:

Rugby becomes:

A Midlands commuter and logistics hub.

Infrastructure Works

Track Upgrades

- passing loops
- electrification
- signalling
- additional platforms

New Stations

Potential stations:

- Birmingham Airport East

- Warwick Technology Park
- Kenilworth North
- Stratford Parkway
- Warwick Gateway

Rolling Stock

Fleet:

60–80 tram-trains

Specifications:

- battery/electric capability
- 100mph maximum speed on railway sections
- urban street operation

Economic Impact

Investment:

£3 billion

Construction Impact

Estimated:

20,000 job-years

Permanent Employment

Direct:

2,000–3,000

Indirect:

5,000+

GDP Impact Model

Transport investment creates value through:

- larger labour markets
- reduced commuting friction
- land development
- business clustering

Conservative Estimate

Additional annual regional GVA:

£750 million

Growth Scenario

With housing and commercial development:

£1.5 billion+ annual GVA

Property Value Impact

Transit-oriented development:

Potential:

15,000–25,000 new homes

around stations.

Estimated uplift:

£2–4 billion land value creation.

Business Effects

Birmingham

Benefits:

- larger labour pool
- reduced congestion
- airport access

Warwickshire

Benefits:

- attracts companies
- higher productivity
- stronger tourism

Coventry

Benefits:

- university links
- engineering cluster

Revenue Model

PPP revenues:

Passenger Revenue

Increased ridership.

Station Development

Commercial:

- offices
- retail
- housing

Advertising

Digital stations and vehicles.

Land Value Capture

Developments around stations.

Investment Return

Target:

6–9% infrastructure IRR

Supported by:

- long-life assets
- predictable demand
- property income

Strategic Relationship With HS2

HS2 creates national connectivity.

The Warwickshire Metro creates local connectivity.

Together:

HS2:

London → Birmingham

Warwickshire Metro:

Birmingham → Warwickshire

The system creates a regional economy comparable to:

- Munich metropolitan region
- Zurich region
- Amsterdam metropolitan area

Wider Economic Transformation

The project creates:

The Midlands Golden Triangle

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          Birmingham
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                 |
                 |
Coventry ---- Warwickshire
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Combining:

- finance
- manufacturing
- universities
- tourism
- technology

Final Recommendation

Ellan Vannin Wealth Management should establish:

The Warwickshire Metro Investment Partnership

A £3 billion PPP to create Britain's first county-scale tram-train metro.

The objective:

Transform Warwickshire from:

> A collection of wealthy towns connected by roads

into:

> A single integrated metropolitan economy.

The strategic principle:

Fast transport creates bigger labour markets.
Bigger labour markets create higher productivity.
Higher productivity creates regional wealth.

The Warwickshire Metro would become the missing link between Birmingham's global ambitions and the economic potential of the surrounding county.